MBA-2026
Winter Term
4 ECTS

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Entrepreneurial Finance 3

Introduction

This course is intended to give students an understanding of the entrepreneurial finance process. It covers the full range of entrepreneurial finance activities, focusing on a variety of deals – start-ups, growth investments and buyouts – from both the entrepreneur's and the investor's point of view. Class discussions will cover a broad range of topics, from assessing investment opportunities to structuring financings, from dealing with entrepreneurial management challenges to realizing value from one's investment.

Course Objectives & Outcomes

Despite a proliferation of publications, it is difficult to find a single comprehensive source on the subject of entrepreneurial finance, partly because any given deal can involve so many variations on each issue and because there are often no clear answers to many issues. Indeed, it is this inherent ambiguity that makes the area frustrating for some people. The best way to learn about entrepreneurial finance is to be involved in lots of deals, learning from each and building upon your experience in addressing the variety of issues involved in each deal. This course is designed to serve as the beginning of that experience.

Methodology

The primary course material will be a series of exercises and cases illustrating the different aspects of entrepreneurial finance. At the start of the course the cases are number intensive and require extensive preparation to understand the underlying methods.
The course is centered around case discussions, with written assignments to be prepared for several different cases. There will also be guest speakers who have been involved in entrepreneurial finance situations. Readings related to subjects being addressed in the cases are also included.
Students will prepare hand-ins based on selected cases. These papers are designed to give you more experience in addressing financing issues that are inherently ambiguous. Typically, this means that there is no single "right answer," so you must think through all the issues carefully to reach and defend your conclusions. It is important that you read carefully the "Individual Assignments" section and follow the instructions, as these are not traditional case write-ups. All relevant case exhibits in Excel format are available on the Virtual Campus (Blackboard).
One caution: This is not a course where you can learn by simply skimming the case before class and then picking up a few useful points from the class discussion. You will only learn if you struggle with the issues and do the relevant analysis and calculations beforehand to reach your own conclusions and then build on that experience through the class discussion. One learns about entrepreneurial finance from experience, and experience means doing the work!

Evaluation

The course grade will be determined as of IESE policies. It will be calculated as follows:

Description	Percentage
Individual reports (SE1)	30%
Team reports (SE1)	20%
Performance in class (SE2)	50%

Grading is based on a three factors: 50% participation, 30% individual assignments for classes and 20% group assignments. The individual reports basically are an in-depth preparation for a class. Student will select 5 out of all possible classes to submit an individual assignment. Contribution to class learning will be determined by active participation in class discussions both in terms of quality and quantity. Generally, you should prepare each case thoroughly, including all relevant calculations and deal structures, and be prepared to initiate class discussion and defend your conclusions.

It is important that you display your name card at every session.

SE1: INDIVIDUAL ASSIGNMENTS: Take 5 out of 12
All students must submit five written reports during the term. The report is a thorough class preparation addressing the case questions and should be about one page plus Exhibits (either in the submission or separate file). There are more possible opportunities to submit during the

term, but you only have to submit 5 in total. Plan your term carefully to determine for which session you want to submit a report. Note that it will not be possible to make up for a missed written assignment.
The individual report must be prepared individually. A few cases have numerical questions, which should always be prepared carefully for an individual submission. Be sure to defend your approach, major assumptions and conclusions in the text. Show the math for your calculations in the exhibits, but do not assume that your exhibits are self-explanatory -– explain what you did and why in the text. (Please do not attach exhibits from the case.). Submit the report via Blackboard latest at midnight before the day of the class. Be prepared to be called out in class on your submission as we will discuss the cases and their associated questions in class.

SE1: GROUP ASSIGNMENTS
Teams will be assigned after the first class the latest. The team has to meet regularly to prepare two deliverables:

1. MuMate:

Your team will receive further details and instructions about the negotiation exercise (MuMate).

The negotiation involves your group negotiating with another group and one group assumes MuMate (entrepreneurs) and the other DuPage Ventures (VCs). You need to prepare a negotiation strategy based on the case and confidential case supplements. The confidential information will be shared early in the term. It contains information available only to your side and should NOT be shared or discussed with any other student besides those in your group. Allocate at least two hours of preparation and discussion to devise your negotiation strategy.

Submit the group assignment via virtual campus by 11:00 am CET on February 6.

You will receive comments on your strategy shortly after your submission, which you should then incorporate for the actual negotiation.

2. Hannah Andreotti:

Students will work in teams using an MBO model to develop a financing structure for a buyout that maximizes the returns for both Hannah and her stakeholders. Each team should submit a PDF of “Exhibit 4 Cockpit,” showing your results. Also, choose one person to present your team's results during the class session.

Submit your group slide via virtual campus by 11:00 am CET on February 26.

Course Outline

Session 1	**Setting up the Venture, The Cap Table**
Focus:	In this session we will introduce the capitalization table and discuss how ordinary shares can be split among founders.
Case:	Betterkey (A): Setting up the Venture
Issues:	What criteria do you use to assess a new business opportunity? Why? Offer thoughts on how the founders' stock should be allocated among Meri, Phil and Raphael. Sketch out a proposed capital structure (co-founder, number of shares, share price, % of shares) for the new company. Take into account the founders' stock, Raphael's contribution of up to $100,000, and any other considerations you think are relevant. Discuss the other suggestions the founders are making while setting up the venture: a) reassignment of IP rights to Meri, b) salaries, c) founder vesting. How would you try to manage the problems introduced by splitting the equity early?
Reading:	Assembling the Startup Team, N. HBR 9-812-122 [Key elements to consider when allocating roles and responsibilities]

Session 2	Sources of Funding, Investment Rounds, Investment Size
Focus:	We discuss different sources of funding along their pros and cons as well as determining how much money to raise in the first place. We also consider how an initial investment by VCs would affect the capitalization table.
Case:	Betterkey (B): How much financing? And from whom?
Issues:	Please check preparation questions in the case. How much money do you recommend should Betterkey raise over the 5 year period? Be prepared to justify your choices of sources and rounds and the year the financing is obtained. Make sure to cover: o Total amount proposed to raise from investors o Number of rounds o Source of funds for each round (e.g. Angels, VCs..) Imagine investor Dracarys Ventures makes an initial investment in Year 1 of $1,000,000 for 40% of the company. Sketch out the capital structure following an investment (the number of shares and share price post-investment). What are the pre- and post-money valuations for Betterkey based on the offer from Dracarys? The founders feel that they need more money and want to ask Dracarys Ventures for $2,000,000 upfront. Is this a good idea? Dracarys Ventures had a strange clause inserted into their termsheet which Raphael could not make sense of: "The parties have agreed that the company will have an option to repurchase some of the founders' shares if the founders cease to work for the company. Founders' shares vest 25% one year following the investment by Dracarys. The remainder of the founders' shares vest linearly over a thirty-six-month period." Raphael wondered what this meant and if he and the other founders would actually give up shares they already owned. What is your response to Raphael's concern? Is the demand from Dracarys Ventures reasonable?
Assignment:	Take 5 out of 12 Answer the questions of the case and submit your report midnight prior to the class.
Reading:	"Financing New Ventures" (HBS Note N9-811-093, 2011), HBS [Get and understand of common sources of financing for new ventures]

Session 3	Valuation
Focus:	Every venture capital / private equity deal involves determining the value of the company. It is one of the most important - and most difficult - tasks an investor (and an entrepreneur) faces, and one needs to be thoughtful about how and when to use the various methods for valuing a company. You will need to apply these valuation techniques throughout the course.
Case:	Betterkey (C): Valuation
Issues:	Create a proposal to value BetterKey by using the different valuation methods in the case (DCF, Multiples, etc.). Note pros and cons for each valuation methodology. What other methodologies do you suggest using to value an early-stage venture?
Assignment:	Take 5 out of 12 Submit your proposal to value BetterKey by midnight prior to the class.
Reading:	"A Method For Valuing High-Risk, Long-Term Investments (HBS Note 9-288-006, 2009)" [A thorough and detailed explanation of the venture capital method]

Session 4	Financing instruments
Focus:	In order to understand a financing for a private company, it is essential to have a thorough understanding of the various financing instruments that one can use. You will need to know how these instruments work for all subsequent sessions.
Case:	Beltren
Issues:	Prepare the cap table for Beltren following the proposed Sofina investment. What financing instrument(s) would you use? Why? What are the implications of using those instruments? What equity value must be achieved before Sofina makes a gain?
Assignment:	Take 5 out of 12 Answer the questions of the case and submit your report midnight prior to the class.
Reading:	"Financing Instruments", LBS [Based on UK financing instruments, this important note focuses on theory in the first seven pages and then on more practical information.]

Session 5	Financing Terms
Focus:	This case describes the terms of a financing offer. Entrepreneurs as well as investors need to understand what such terms mean and the effects they can have on the development of the business and the ultimate value of each party's shareholding.
Case:	Nordic Technologies AB
Issues:	Is the offer from Pan-European a good offer? Why / why not? Is the valuation of this offer good for management? Why / why not? How might the terms of this offer affect the company? As Anders Ferm, how would you feel about the financing proposal?
Assignment:	Take 5 out of 12 Answer the questions of the case and submit your report midnight prior to the class.
Reading:	Terms - IESE FN 634 [Good discussion of key financing terms.]

Session 6	Negotiation Exercise 1
Focus:	You will engage in a negotiation exercise in teams which will be assigned to you before. In this session you will have the negotiation in a team room. You will be informed about the details via email.
Case:	MuMate (HBS: 9-813-085)
Assignment:	Group assignment: see page 4 for instructions. Details provided during the term. Submit the group assignment via virtual campus by 11:00 am CET on February 6th.
Reading:	How to Negotiate with VCs, Harvard Business Review [Useful guidelines for negotiating entrepreneurs.]

Session 7	Negotiation Exercise 2
Focus:	This is the second class of the negotiation exercise, which will be the debrief, where we discuss your experiences in the classroom.
Case:	Same as in Session 6.
Assignment:	Same as in Session 6.
Reading:	Same as in Session 6.

Session 8	**Bootstrapping**
Focus:	Until recently it seemed that every entrepreneur had to raise as much capital as possible at the earliest stage possible. Now lean start-up models and smart financing strategies permit the creation of great businesses without outside investors.
Case:	None
Issues:	Is bootstrapping a financial strategy or simply a "failure to raise capital?" What are the advantages and disadvantages of having outside investors? Aside from investors and lenders, what other sources of capital can an entrepreneur use?
Reading:	Venture Capital is a Hell of a Drug, TechCrunch [Time for reflection: Is venture capital necessary? Is it good? Is it for me?]

Session 9	**Perspectives and Best Practices for Founders**
Focus:	Some mistakes can be avoided in both starting and running an entrepreneurial venture. Today, we will focus on best practices in the stage when entrepreneurs are considering starting their own business.
Case:	Eliza & Josephine - Forming a Business Partnership (Case)
Issues:	What traits/experiences are needed to succeed in a new venture? What do you think of the process that Eliza and Josephine followed? Would you expect such a process to have any longer-term value?
Reading:	Don't Begin Your Business Plan Without Addressing These Issues [Sound advice for aspiring entrepreneurs]

Session 10	**Navigating Entrepreneurial Growth Challenges in Emerging Markets**
Focus:	Rahul Jain's entrepreneurial journey with Peach Payments underscores the critical challenges of scaling, fundraising, leadership, and strategic decision-making within the dynamic and fragmented African market.
Case:	Shesha Pay
Issues:	What are the long-term implications of different financing alternatives, particularly on ownership dilution? What personal, operational, and leadership challenges arise when scaling in Africa? How can Rahul effectively manage high-stakes decisions and internal conflicts under pressure?
Assignment:	Take 5 out of 12 Answer the questions of the case and submit your report midnight prior to the class.
Reading:	The absolute worst thing about convertible debt. [Explores risks and challenges of using convertible debt in startups.]

Session 11	**Scaling by internationalization**
Focus:	This case describes how high-growth startups navigate the tension between strategic expansion and internal alignment, particularly when investor interests, governance dynamics, and organizational culture are misaligned. It covers the leadership challenges in scaling across geographies under shifting market conditions.
Case:	Arbolus
Issues:	Should Sam approve the Series B round even if it creates a division on the board? What are the trade-offs between raising primary capital and allowing secondary liquidity? What governance challenges arise during scaling, and how can they be addressed?
Assignment:	Take 5 out of 12 Answer the questions of the case and submit your report midnight prior to the class.
Reading:	The Overlooked Key to a Successful Scale-Up. [A good reading for understanding the difficulties of growth and scaling.]
Note:	From this point on you will need to adjust your thinking now, as some of the approaches to valuation that we have been using thus far are not relevant with buyouts, which require a different way of looking at financings.

Session 12	**Structuring a Buyout**
Focus:	The majority of private equity deals involve some type of buyout. This session introduces the factors that must be considered in managing the buyout process and structuring a buyout financing.
Case:	Gordon Bell
Issues:	What makes Gordon Bell a good buyout opportunity? What price would you be willing to pay for the company? Why? How would you structure the financing? How do you determine if it is an acceptable deal for the investor?
Assignment:	Take 5 out of 12 Answer the questions of the case and submit your report midnight prior to the class.
Reading:	The Manager's Guide to Buy-Outs, BDO Stoy Hayward. [A useful step-by-step guide to buyouts.]

Session 13	**Buyout Models**
Focus:	Structuring a buyout financing involves a variety of factors and moving parts which must be tied down and incorporated in a financing package that works for both the investor(s) and management. This case will give you an opportunity to work with a model to structure a buyout financing.
Materials:	Hannah Andreotti. How to make the Numbers Work. Excel Sheet Preparation Sheet
Issues:	What are the critical elements of this buyout model? What are the trade-offs that you had to make for the deal to work? Is this a deal that you would do? Why / why not? How would you change the buyout model if you were building it?
Assignment:	Group: Hannah Andreotti - Submit your group slide via virtual campus by 11:00 am CET on February 26 (see more detailed instructions page 4).
Reading:	The Balance Between Debt & Added Value, FT/Tuck [Good discussion of the use of debt financing in buyouts.]

Session 14	Corporate Governance in Entrepreneurial Finance
Focus:	Nearly all corporate scandals have two aspects in common: bad ethics and weak corporate governance. It is also what sets great investment firms apart from average ones. This is not different in VC and PE. In this case, we will discuss the importance of good corporate governance and what it looks like.
Materials:	Theranos: Who Has Blood on Their Hands? (A) (there is also a good but long youtube: link)
Issues:	How well did Donald Lucas & Lucas Venture Group meet their responsibilities to Robert Colman? Were investors defrauded? How did board governance fail despite the radical changes introduced post Enron and the 2008 credit crisis? What lessons do you take away from the case as an investor, entrepreneur, employee, or business partner?
Assignment:	Take 5 out of 12 Answer the questions about the case and submit your report by midnight before the class.
Reading:	Prentice, R. "Good directors, and bad behavior." Business Law & Ethics Corner, 2012. [Reflect on key ethical questions in entrepreneurial finance]

Session 15	Three Sources of Value of a Buyout Opportunity
Focus:	Assessing a buyout opportunity involves assessing the business, the transaction, and the financing structure. We will examine all of this today.
Case:	Star Parks
Issues:	Is this a good buyout opportunity? Why / why not? What are the factors that affect the price that Palamon can pay? What price should Palamon offer for Star Parks? Why? What issues must be solved before Palamon commits to a firm price?
Assignment:	Take 5 out of 12 Answer the questions of the case and submit your report midnight prior to the class.
Reading:	Note on Leveraged Buyouts, Tuck [Good introduction to buyouts.]

Session 16	**Exit Considerations**
Focus:	This session will focus on the personal considerations when an entrepreneur faces an exit opportunity. For students who are not familiar with search funds, this case also provides an introduction.
Case:	Marc Bartomeus and Spain's First Search Fund
Issues:	What do you think of the search fund model? In Marc's role, what is your assessment of the private equity offer? What issues would concern you most? What action(s) would you take? Why?
Assignment:	Take 5 out of 12 Answer the questions of the case and submit your report midnight prior to the class.
Reading:	Buying Your Way into Entrepreneurship [A good introduction to this path for young entrepreneurs.]

Session 17	**Trade Sales - I**
Focus:	Trade sales are the most common route to liquidity for investors. In this session we will discuss various aspects of the trade sale process.
Case:	Tradetix (A)
Issues:	What do you think of the way Hugh Paige went about building Tradetix and financing the company's development? How would you assess the evolution of the company's strategy? What is Tradetix worth at the end of the case? On what basis? If you were in Hugh's position at the end of the case, what course of action would you advocate? Why?
Assignment:	Take 5 out of 12 Answer the questions of the case and submit your report midnight prior to the classes.
Reading:	The Company Sale Process, HBS [Even though it is written from the perspective of the sale of a large quoted company, this note provides a good description of the trade sale process for any company. You can skip the tax issues, which are unique to the US.]

Session 18	**Trade Sales - II**
Focus:	We will continue our discussion of trade sales.
Case:	To be handed out in class.

Session 19	**Exiting via an IPO**
Focus:	An initial public offering (IPO) is a way for entrepreneurs to retain management control of their company while also (i) securing additional capital to grow the business and (ii) achieving a return for their shareholders and themselves. This session will explore the IPO process.
Case:	Soomaa Labs OU (A)
Issues:	Should Soomaa Labs go public now? Why / why not? If so, on which market should the company do the IPO? Why? How should the company's management choose an investment bank? What do you think the IPO valuation of Soomaa Labs will be? Why?
Assignment:	Take 5 out of 12 Answer the questions of the case and submit your report midnight prior to the classes.
Reading:	Initial Public Offerings, Ivey [A good description of the IPO process.]

Session 20	**Exiting via an IPO - Part II**
Focus:	We will continue our discussion of the IPO process.
Case:	To be handed out in class.

Content

There are four underlying themes that run throughout the course:
- How to assess a new venture opportunity as an entrepreneur or an investor.
- How to value a privately-held company.
- How financing transactions are structured.
- How entrepreneurs and investors exit from private companies.

Intermingled with these themes are a wide variety of management issues and challenges that must also be addressed in financing and running an unquoted company.

Bibliography

1) Fundamentals of Entrepreneurial Finance, Marco Da Rin and Thomas Hellmann, 2020.
2) Secrets Of Sand Hill Road, Scott Kupor , 2019.
3) Mastering the VC Game: A Venture Capital Insider Reveals How to Get from Start-up to IPO on Your Terms, Jeff Bussgang, 2010.
4) The Process of Forming the Company, Nesheim, 2000.
5) Frodsham, H. L. Getting between the Balance Sheet. The Four Things Every Entrepreneur Should Know about Finance. Palgrave Macmillan, 2011.

Additional Notes

Learning Goals & Learning Objectives

Rather than focusing on a set of specific competences, this course is about ways of thinking about the various issues involved in financing a venture and the potential effects that those issues can have on all parties involved – the entrepreneur, investors, and the company. It is assumed that students are already familiar with many of the competences involved in the course, some of them learned in various finance classes (such as DCF, Multiples); the emphasis here will be on what they actually mean and when, whether and how they apply. Finally, the course encourages students to take a holistic perspective considering a broad set of relationships between co-founders and organizational stakeholders and learn how to manage these relationships in a responsible way.

Professor’s Biography

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Thomas is a professor that holds a PhD in Managerial Science and Applied Economics from University of Pennsylvania, an MA from University of Pennsylvania and University College Dublin and a BA Science from Duale Hochschule Baden-Wuertemberg. Prior to pursuing an academic career, he was a financial analyst and project manager at IBM and JP Morgan. In those functions, he was involved in several worldwide projects in corporate finance and business development.

Thomas’ research interests lie at the intersection of strategic entrepreneurship and innovation. He focuses on how established and emerging firms manage technological change and the strategies firms pursue to develop and commercialize new technologies. His work has been published in Academy of Management Journal, Organization Science, Journal of Management Studies, Nature Biotechnology, Research Policy, and Strategy Science among others. He has, also, published several articles for practitioners in outlets such as Harvard Business Review and Sloan Management Review.

Professor’s Biography

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Professor Liechtenstein holds a PhD in Managerial Science and Applied Economics from The Economics School of Vienna, Austria, a Master’s degree in Business Administration from IESE Business School, and a BSc in Business Economics from the University of Graz. Professor Liechtenstein specializes in entrepreneurial finance, management of wealth, governance of entrepreneurial families and Impact Investing. He is a co-author of several publications on private equity. Professor Liechtenstein lectures in the MBAs and Executive Programs. As a consultant, he collaborated with leading families and financial institutions and serves on the board of family-controlled foundations. Prior to his academic career, Professor Liechtenstein was engaged in LGT dealing with ultra-high net-worth individuals. He also advised families within the Boston Consulting Group and established and sold two successful businesses.

Professor's Biography

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Luis Martín Cabiedes is Senior Lecturer in the Entrepreneurship Department where he teaches Entrepreneurship and Entrepreneurial Finance. He has a degree in Philosophy from the Universidad Complutense de Madrid, an MBA from IESE Business School, University of Navarra and a Financial Analyst Charter from CFA Institute.

In 1989, he joined the Europa Press Group, where he was co-president for 12 years.

In 1998, he started investing in early-stage tech startups. He initially operated as a business angel and then launched his own venture capital fund (Cabiedes and Partners) in 2009. He has invested in more than three hundred digital startups and Search Funds, including Ole, Privalia, Trovit, Deporvillage, Kantox, or more recently BlaBlaCar, Indexa Capital and Repli SL.

Learning Outcomes

These are the Learning Outcomes:

- Understand the international economic and social environment to assess opportunities and risks for business development in other countries. (OP01)
- Interact as a company executive with primary internal and external stakeholders. (OP03)
- Explore funding sources for new businesses, such as crowdfunding, business angels, venture capital, and alternative stock markets. (OP06)
- Assess new businesses in their early stages for initial rounds of financing. (OP10)
- Understand the corporate financing process focused on a variety of operations (startup creation, growth investments, and acquisitions) from both the entrepreneur's and investor's perspectives. (OP11)
- Conceptualize, design, analyze, and apply new business models. (OP12)
- Critically evaluate relevant information for improved decision-making. (R01)
- Integrate economic efficiency, ethical criteria of respect for human dignity, and planetary sustainability in decision-making. (R10)
- Lead diverse teams by optimizing resources and inspiring trust, which translates into commitment and autonomy for the rest of the team. (R11)
- Analyze the impact of business decisions from a general management perspective, operating within a global competitive context. (R22)
- Apply an entrepreneurial mindset, with a creative and open attitude, driving necessary changes with energy and personal responsibility. (R23)

Formative Activities

Time distribution for each formative activity:

Description	Hours
Sessions with the professor (AF1)	37h
Individual student work (AF2)	39h
Teamwork (AF3)	17h
Assessments & Exams (AF4)	7h

Sustainable Development Goals

While not primarily focused on sustainability, this course meaningfully incorporates sustainability-related content and perspectives where relevant. Topics such as environmental impact, social responsibility, or ethical considerations are introduced in connection with the core subject, through readings, activities, or discussions. This integration enhances students' understanding of sustainability within the broader context of business and society.

It addresses the following SDGs:

- SDG9. Industry, innovation and infrastructure
- SDG16. Peace, justice and strong institutions
- SDG17. Partnerships for the goals